

SEPARATE OPINION OF Mr. HUDSON.

I.

This appeal from the judgments given by the Hungarian-Yugoslav Mixed Arbitral Tribunal in cases Nos. 749, 750 and 747 is brought before the Court under Article X of Agreement No. II, signed at Paris on April 28th, 1930. The Agent of the Yugoslav Government has raised a preliminary objection to the Court's entertaining the appeal. This requires, first of all, an interpretation of the provisions of Article X. The text consists of French and English versions which read as follows :

« *Article X.* — Pour toutes les sentences de compétence ou de fond rendues désormais par les tribunaux arbitraux mixtes dans tous les procès autres que ceux visés par l'article premier du présent Accord, la Roumanie, la Tchécoslovaquie et la Yougoslavie, d'une part, et la Hongrie, d'autre part, conviennent de reconnaître à la Cour permanente de Justice internationale, sans qu'il y ait besoin de compromis spécial, compétence comme instance d'appel.

Le droit d'appel pourra être exercé par voie de requête par chacun des deux Gouvernements entre lesquels se trouve constitué le Tribunal arbitral mixte, dans un délai de trois mois à dater de la notification faite à son agent de la sentence dudit tribunal. »

“*Article X.*—Czechoslovakia, Yugoslavia and Roumania, of the one part, and Hungary, of the other part, agree to recognize, without any special agreement, a right of appeal to the Permanent Court of International Justice from all judgments on questions of jurisdiction or merits which may be given henceforth by the Mixed Arbitral Tribunals in all proceedings other than those referred to in Article I of the present Agreement.

The right of appeal may be exercised by written application by either of the two Governments between which the Mixed Arbitral Tribunal is constituted, within three months from the notification to its Agent of the judgment of the said Tribunal.”

An interpretation of this text involves, necessarily, some consideration of all the Paris Agreements, in the course of which the Court must take account of their history and of both the general and the specific purposes which they were designed to serve. After negotiations in which seventeen Governments took part, first at The Hague and later at Paris, four Agreements and a covering “Preamble” were signed at Paris

on April 28th, 1930, and brought into force on April 9th, 1931. Agreement No. I effected certain "arrangements between Hungary and the Creditor Powers" with respect to reparations; Agreement No. II dealt with certain questions relating to the Agrarian Reforms of Czechoslovakia, Roumania and Yugoslavia, and with the continued functioning of the Mixed Arbitral Tribunals set up under the Treaty of Trianon of June 4th, 1920; Agreement No. III dealt with "the organization and working of an Agrarian Fund entitled 'Fund A'"; and Agreement No. IV, which was signed by only a limited number of Governments (not including that of Hungary), dealt with the "constitution of a special fund entitled 'Fund B'". In so far as these Agreements dealt with questions relating to agrarian reform, they were designed to afford escape from the difficulties which over a period of several years had paralyzed the Mixed Arbitral Tribunals; these difficulties had been the subject of protracted consideration by the Council of the League of Nations, and in consequence they had come to interest a wider group of States than those immediately concerned.

While an interpretation of these Agreements must be approached with a disposition to give effect to their general purpose, the fact cannot be ignored that Agreement No. II, especially, embodied a transaction between Czechoslovakia, Roumania and Yugoslavia on the one hand and Hungary on the other hand. The special limits of that transaction must be respected. This is made the more imperative because of the fact that Agreement No. II constitutes a departure from Article 250 of the Treaty of Trianon which had re-established the common international law, and because of the carefully guarded language employed by the parties. It is commanded, also, by the provisions of the preamble to Agreement No. II. The three Governments of the States of the Little Entente entered into the Agreement "in a spirit of conciliation", expressly reserving "their legal points of view". "On its side", the Hungarian Government expressed "the same desire for conciliation", and it maintained, "from the legal point of view", the "position which it had previously adopted". On both sides, the Governments expressly refused to surrender the rights derived by their nationals from the Treaty of Trianon "in respect of any questions the settlement of which is not envisaged" in Agreement No. II.

Article X of Agreement No. II sets two principal conditions for the "right of appeal" to this Court, i.e., for this Court's "*compétence comme instance d'appel*"; (1) the judgments appealed from must be "judgments on questions of jurisdiction or merits" (Fr., *sentences de compétence ou de fond*); and (2) the judgments appealed from must have been given by a Mixed

Arbitral Tribunal in "proceedings other than those referred to in Article I". Are these two conditions fulfilled in this case?

(1) "Jurisdiction or merits" is an expression quite commonly employed in a global rather than a restrictive sense. In an international instrument such as Agreement No. II, there is no reason for giving it a technical as opposed to a general meaning. It was obviously employed in Article X to embrace rather than to exclude. In the same sense, it was employed by M. Titulesco in his declaration concerning Article X, made on behalf of the Czechoslovak, Roumanian and Yugoslav Delegations at the Paris Conference on April 28th, 1930. Hence it seems quite immaterial that, formally, the judgments appealed from were merely to the effect that the applications were not receivable. Even if the distinction drawn by some systems of national jurisprudence between questions of receivability and questions of jurisdiction or merits may be said to have been adopted by international jurisprudence—a point on which it seems unnecessary to express an opinion—there ought to be no doubt that the general language to be found in Article X covers the judgments which are the subject of this appeal. The first condition set by Article X was therefore fulfilled in this case.

(2) Article X excepts from appeal judgments given in proceedings "referred to in Article I". What was the reason for this exception? Quite obviously, it was because the proceedings "referred to in Article I" were made subject to a special procedure, the purpose of which would in some measure be defeated if appeal were allowed. Appeal was envisaged only as to proceedings in which the normal judicial procedure was applicable.

This becomes quite clear on an examination of the nature of the special procedure prescribed for proceedings "referred to in Article I". It was to be an administrative rather than a judicial procedure. Article VII restricts very narrowly the legal field within which the Mixed Arbitral Tribunals are to function in such proceedings: they are to frame their judgments "solely upon the basis" of Agreement No. II; they have no competence "to pronounce upon the differences on questions of principle" referred to in the preamble to Agreement No. II; and "in particular" they have no competence "to interpret Article 250 of the Treaty of Trianon" which had theretofore served as the basis of claims by Hungarian nationals relating to agrarian reform. Article VIII proceeds to enumerate the precise questions to which the Mixed Arbitral Tribunals are to address themselves, providing that they are to "ascertain" two questions of fact: (a) "whether the claimant is a Hungarian national qualified by virtue of the Treaty of Trianon", and

(b) "whether his property had been expropriated in application of the agrarian legislation". Thereafter, the Mixed Arbitral Tribunals have only to fix the amount of compensation "to be charged against the Fund", and this they are to do "by a summary procedure" in accordance with methods "drawn up in advance". Taken together, Articles VII and VIII clearly indicate an intention to place the "proceedings referred to in Article I" outside the field of normal judicial action, to remove them from all contest on questions of principle, and to confine them to the determination of bare questions of fact. The aim was to expedite all these proceedings and to get them out of the way. Hence Article X excepted them from the appeal provided for. It must be concluded that the exception from the "right of appeal" applies only to those cases to which the special procedure was made applicable.

In the three cases to which this appeal relates, the special procedure was not applicable, and neither the applicants nor Yugoslavia nor the Mixed Arbitral Tribunal sought to apply it. The proceedings having been brought against Yugoslavia, the Hungarian-Yugoslav Mixed Arbitral Tribunal made no pretence of applying Article III of Agreement No. II, which provides that "claims introducing legal proceedings" against Yugoslavia "referred to in Article I, shall be treated henceforth as having been made against the Agrarian Fund"; the Agent of Yugoslavia appeared, not under Article XII of Agreement No. II "for the purpose of furnishing information", but as the representative of the respondent State. Even if the failure to substitute the Agrarian Fund for Yugoslavia as the respondent was erroneous, however, it is to be noted that the applicants sought indemnities, not on the basis of any provision in Agreement No. II, but on the basis of Article 250 of the Treaty of Trianon which, if the Tribunal had followed the special procedure, it would have had no competence to interpret. Moreover, it is significant that the parties before the Mixed Arbitral Tribunal were permitted to conduct their written proceedings, not in accordance with the special *Règlement* of August 4th, 1931 concerning agrarian cases, which envisaged only the filing of an application and an answer, but in accordance with the more general *Règlement* of August 4th, 1931, which envisaged also the filing of a reply and a rejoinder.

The conclusion seems to be inescapable that as the special procedure was not applicable to the cases to which this appeal relates, the proceedings in these cases did not fall within the exception in Article X. Hence the judgments appealed from were given in "proceedings other than those referred to in Article I"; and the appeal should be entertained.

II.

Entertaining the appeal, the Court should deal with the opposing submissions of the Parties concerning the judgments given by the Hungarian-Yugoslav Mixed Arbitral Tribunal in cases Nos. 749, 750 and 747. The three judgments follow the same general lines; in each of them the Mixed Arbitral Tribunal based its conclusions on the same reasons as in the others. Briefly, it was the view of the Tribunal that the proceedings were "in regard to the agrarian reform" (Fr., *à propos de la réforme agraire*); that Article I of Agreement No. II covers all the proceedings brought by Hungarian nationals against the States of the Little Entente "in regard to the agrarian reform"; and that since the Paris Agreements came into force no such proceeding can be based upon Article 250 of the Treaty of Trianon. The broad question before the Court is whether this is a proper interpretation of the Paris Agreements. In other words, the question before the Court is whether within the meaning of the Paris Agreements the expression "legal proceedings in regard to the agrarian reforms" is as inclusive as the language employed would seem to suggest, or whether on the contrary it has a more limited purport. If so, the sense in which the expression is used in the Agreements must result from the Agreements themselves.

Before dealing with this question, it is to be observed that the Paris Agreements contain no indication of a general purpose to deal with all possible claims "in regard to the agrarian reform". If this had been the desire of the negotiators at The Hague and at Paris, apt terms could easily have been found for effectuating such a purpose. There is a statement in the preamble of Agreement No. IV that "by an agreement of even date the questions relating to the agrarian reforms have been settled" (in the Hague draft this was limited to the "questions raised concerning agrarian reform"); but this is immediately followed by a statement that "nevertheless there remain outstanding important differences concerning the application", *inter alia*, of Article 250 of the Treaty of Trianon. The guarded language in the Agreements, particularly in Agreement No. II, is consistent only with the idea that the Agreements were to serve a more limited purpose. An interpretation urged upon the Court by the Agent of Yugoslavia would compel all Hungarian nationals who desire to receive an indemnity for the expropriations effected in the course of the agrarian reform to formulate claims against the Agrarian Fund in proceedings before the Mixed Arbitral Tribunal. Such a displacement of Article 250 of the Treaty of Trianon, which as

pointed out above restored the common international law, would require clear and explicit provisions in the Agreements, but such provisions are not to be found in the text. Nor can that obligation of such Hungarian nationals be deduced from the "lump-sum settlement" referred to in Article 10 of Agreement No. III, for that settlement is limited to "claimants within the terms of Article I of Agreement No. II".

Article I of Agreement No. II refers throughout to "proceedings" or "legal proceedings". In so far as they concern Yugoslavia, the several paragraphs of Article I relate more particularly to three categories of proceedings, all of which are considered to be "in regard to the agrarian reform": (a) proceedings brought prior to 20th January 1930; (b) proceedings instituted after 20th January 1930 on account of properties which on that date were already subject to the agrarian reform and as to which on that date the owner's right of free disposal has been limited; (c) proceedings instituted after 20th January 1930 in respect of such properties "as a result of the application of the new Yugoslav law". This description does not constitute a definition of the proceedings referred to in the Article: it merely constitutes a limitation within the range of the proceedings the definition of which must be sought elsewhere.

The definition of the proceedings dealt with is to be found in the preamble of Agreement No. II, which expressly refers (para. 2) to "legal proceedings" pending or to be initiated. The context clearly shows that the proceedings thus referred to are those which relate to "a certain number of claims based on Article 250 of the Treaty of Trianon submitted by Hungarian nationals against the three Governments of Czechoslovakia, Yugoslavia and Roumania as a result of the application of the agrarian reforms in those countries" (para. 1); the said Governments declare that they do not "in any way recognize the justice of the said claims" (para. 3).

What were the claims in question, and consequently the "legal proceedings" referred to? On the 20th January 1930 more than five hundred proceedings were pending before the three Mixed Arbitral Tribunals, all of them of the same general character. Basing themselves on Article 250 of the Treaty of Trianon, the applicants attacked the legality of the measures of agrarian reform applied to their properties, and they sought either restitution or complete indemnities in lieu of restitution. It would seem, then, that to the extent that proceedings instituted after 20th January 1930 are referred to in Article I of Agreement No. II, they must be proceedings of

the same general character. Not only is this conclusion consistent with the general purpose which Agreement No. II was designed to serve; it is also impelled by the language used and by the general nature of the arrangement made for impersonalizing agrarian claims.

The preamble of Agreement No. II refers in the first paragraph to "a certain number" of pending claims and in the second paragraph to "legal proceedings" (Fr., *ces procès*); it is then added that "other proceedings may be instituted" (Fr., *d'autres pourraient être engagés*). This is clearly an assimilation of later-instituted to pending claims. Article IV of Agreement No. II points to the same assimilation in providing that "the Fund shall not be called upon to make any payment until it has received notification of the whole of the judgments". Article VI has the same effect in providing that when the Managing Commission of the Fund has "received the whole of the judgments delivered in the legal proceedings referred to in Article I", it shall make a "proportional distribution" among judgment-holders; and this is to be done "in any case before 31st December 1932", whereas the ultimate date for the application of the new Yugoslav law was fixed in Article I as 31st December 1933. The outline of the special procedure envisaged by Articles VII and VIII for "the legal proceedings referred to in Article I" carries further the idea of assimilation. Moreover, the financial construction of the Agrarian Fund set out in Agreement No. III shows that the negotiators anticipated that for meeting the judgments given against it in proceedings referred to in Article I of Agreement No. II, the Fund would have something more than the amounts paid by the States of the Little Entente "on account of local indemnities", that it would have, also, the amounts representing the contributions of other States.

These various provisions of the Agreements indicate that later-instituted proceedings were, like the proceedings brought before 20th January 1930, envisaged as proceedings in which the applicants sought complete indemnities in lieu of restitution. Nor is this indication rebutted by the provisions of Article 10 of Agreement No. III concerning a "lump-sum settlement of the total indemnities" to be allotted by the new Yugoslav law; the "lump-sum settlement" was only "for the expropriated lands of present and future claimants within the terms of Article I of Agreement No. II", "whatever may be the extent" of those lands. Article 10 is entirely consistent with the view that all the proceedings referred to in Article I of Agreement No. II were envisaged as proceedings of the same general character, i.e., proceedings which attacked the

agrarian reform and sought complete indemnities as a substitute for restitution.

What has just been said sufficiently explains the proper interpretation of the expression "legal proceedings in regard to the agrarian reforms", as used in Agreement No. II and more particularly in Article I of that Agreement.

Clearly, the proceedings before the Hungarian-Yugoslav Mixed Arbitral Tribunal were not of that character. The Tribunal itself drew no distinction between the three cases; in two of them, if not in all of them, the expropriation was treated as a *fait accompli*, the legality of which was not challenged, and the applicants sought neither restitution nor complete indemnities in lieu of restitution, but local indemnities on a footing of equality with Yugoslav nationals. In case No. 749 (Pajzs), the applicants asked expressly *que l'État yougoslave nous accorde les indemnités dans la même mesure et de la même façon que si nous étions sujets yougoslaves*. In case No. 750 (Csáky), the applicant asked for *le même dédommagement que celui qui lui serait accordé si cette dernière était ressortissante yougoslave*. If case No. 747 (Esterházy) is not so clear on this point, even there the applicant claimed *le droit d'intenter un procès contre l'État yougoslave pour violation des dispositions de l'article 250 du Traité de Trianon, vu que mon affaire n'est pas visée par les Accords de Paris*. All three of these proceedings were, therefore, outside the categories of "proceedings referred to in Article I" of Agreement No. II.

The conclusion follows that the Mixed Arbitral Tribunal erroneously envisaged these proceedings as being covered by the provisions in Article I of Agreement No. II, and that since its judgments were based on this conclusion they should be reformed. It is unnecessary for this opinion to deal more particularly with the disposition of the appeal.

III.

The conclusion that the appeal should be entertained would make it unnecessary for the Court to deal with the alternative submission of the Hungarian Agent concerning the "difference as to the interpretation or application" of Agreements Nos. II and III.

Since the Court has decided that the appeal is not receivable, however, and since it has decided in consequence to deal with the "difference as to interpretation or application", it may be added in this opinion that, in line with reasons given above,

the undersigned cannot agree with the considerations which have led the Court to decide that the attitude of Yugoslavia in regard to the Hungarian nationals whose properties have been expropriated in the course of the agrarian reform is in conformity with the dispositions of the Paris Agreements.

(Signed) MANLEY O. HUDSON.